

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

The Problem

Two signals turning from grey to red:

Signal	Why
No DAO legal wrapper	No member liability shield, no clear answer for "what entity do TDG holders govern?"
Personal bank account	Gary's personal account is the bottleneck — more volume = more personal risk

The Solution

Form a Wyoming UNA via OtoCo this week. Cost: ~\$50 gas.

That's it. The UNA is a legal entity with:

- Liability protection for members
- A clear answer for TDG holders: "you govern the UNA"
- No bank account needed — TrueTech Inc handles all money flows

The Structure

Wyoming UNA (nonprofit, DAO legal wrapper) — formed this week for ~\$50

- No bank account needed — TrueTech Inc handles all money flows
- TDG holders govern the UNA (pseudonymous — wallet only)
- Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

- Own cap table and shareholders (Gary)
- Own bank account (ALL money flows: commercial, partner contributions, buybacks)
- May buy back TDG at NAV using operating cash reserves (discretionary)
- Buyback reserve formula published on truesight.me

Key decisions (already resolved)

- TrueTech Inc: Independent entity, not a DUNA subsidiary. Avoids UBIT.

- Bank accounts: One account — TrueTech Inc handles everything. UNA doesn't need its own.
- TDG buyback: TrueTech may buy back at NAV using operating cash. Formula on truesight.me. Discretionary, not guaranteed.
- Wise: \$0 to open, no minimum deposit. Handles standard transfers + PIX. Venmo/Zelle/Western Union executed manually.
- Withdrawal flow: Member submits DApp request to TrueTech issues cash to TDG deducted from ledger to burned

What We're Doing This Week

Action	Cost	Timeline
Form UNA via OtoCo (2 wallets sign)	~\$50 gas	1 day
Open TrueTech Inc Wise Business account	\$0 (no fees, no minimum deposit)	1-2 days

Total cost: ~\$50. We have ~\$4,126 in the Main Ledger.

The One Question for SVH Capital

"We're forming a Wyoming UNA via OtoCo this week. TDG is issued to contributors for work (cacao logistics, contribution scoring, development, onboarding) and grants governance rights. An independent affiliated C-corp (TrueTech Inc) may, at its discretion, buy back TDG at net asset value (total DAO assets divided by total TDG issued) from its own operating cash. Does TDG constitute a security under Howey?"

That's it. The structure is resolved. We just need a narrow legal opinion on whether TDG — including the buyback feature — is a security.

What We're NOT Doing (Yet)

Thing	Why Not	When
Impact fund channel	No committed backend. TrueTech handles commercial flows only. Impact/donation money needs UNA bank account + 501(c)(3).	When a genuine donation-type funder appears
UNA bank account	TrueTech Inc handles all current money flows. No need.	Only if impact fund capital requires a separate home
501(c)(3) application	Costs \$2K-10K. Not needed until impact funds require tax-deductible receipts.	6-12 months

Thing	Why Not	When
Brazilian CNPJ ownership	Costs \$1K-3K. Matheus's private CNPJ works.	Future
DUNA formation	Requires 100+ members by mutual consent. UNA works.	When eligible
Multi-entity accounting	\$2K-5K/yr. Not needed at current scale.	When revenue grows

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